South-east Asia Upstream Deal Tracker

ARIFOS RESEARCH · ISSUE 01 · 27 OCTOBER 2026

USD 9.6 billion of South-east Asian upstream assets is on the market through 2027 — and for the first time since 2020 the buyers are arriving faster than the sellers are leaving. What follows is what moved, what is stuck, and the one date that decides the region's fiscal architecture.

1 · The turn in the cycle

Rystad Energy put **USD 9.6 billion** of upstream assets on offer for the remainder of 2026 and into 2027. Roughly USD 6.7 billion changed hands during 2025 under a new intent — strategic entry rather than non-core exit. The composition of the seller side tells you the story: majors USD 3.6 billion, independents USD 3.7 billion, national oil companies USD 1.4 billion.

Pricing has moved with it. Recent transactions have cleared at **USD 9.8 per barrel of oil equivalent** for development assets and above **USD 3/boe** for pre-FID resources, against six-year averages of USD 6–7/boe and USD 1.5/boe respectively. The gap is the market paying for optionality in a basin it had written off.

The distinction that matters: majors are selling countries, not assets. Independents are selling because a single balance sheet cannot carry a pre-FID discovery to sanction. NOCs — PETRONAS included, through its Searah joint venture with Eni — are rationalising late-life positions at home while buying entry elsewhere. Three different motives, one market.

Source: Rystad Energy, 5 October 2026.

2 · What completed this quarter

DATE	TRANSACTION	VALUE	READ
2 Jul 2026	INPEX acquires TotalEnergies' 85% in Block 2E, offshore Malaysia; becomes operator	USD 350m	Announced and completed same day — an 8.5% net interest in Marjoram
Early Sep	Prima Energy acquires 28.3% of Jadestone Energy from Tyrus Capital funds	n/d	Secondary share deal; exposure to Australia, Malaysia, Indonesia, Vietnam
Early Sep	INPEX acquires 50% of Agung I and II deepwater PSCs, Indonesia, from BP	n/d	BP retains operatorship; INPEX's second Indonesian entry this year
Mid-Sep	Conrad Asia / WNEL farm down 75% of Duyung PSC to PT Nations Natuna Barat	+USD 4m	Completion payment to WNEL on Indonesian approval
Sep 2026	Vista Energy acquires Lion Energy's 2.5% indirect in Seram Non-Bula PSC	n/d	Approval took materially longer than the parties guided
Early Sep	TIMOR GAP buys Osaka Gas Australia's 10% of Greater Sunrise	n/d	Raises TIMOR GAP to 66.56%; Woodside retains 33.44% and operatorship
Sep 2026	PT Rukun Raharja acquires 5% of PT Layar Nusantara Gas from Genting LNG	USD 43.7m	Downstream/FLNG for Kasuri; related upstream farm-down still pending

Sources: Kawi Energy Research, 1 October 2026; company announcements.

3 · The one that matters most

EnQuest × PETRONAS — USD 833 million, closing 31 December 2026. Three farmout agreements, USD 554 million payable on completion. EnQuest takes operatorship of Balingian, SK8 and D35-D21-J4 offshore Sarawak, plus a non-operating interest in **PM6-12** offshore Peninsular Malaysia — the block that hosts the Lebah Emas-1 discovery, drilled May–June 2025.

On completion EnQuest assumes a portfolio producing more than 100,000 boe/d, adding roughly 138 million boe of 2P reserves and 208 million boe of contingent resources. It is a reverse takeover under UK listing rules, so shareholder approval is a live condition, not a formality.

> **Why this is the tell.** A UK independent is about to become operator of Sarawak assets it has never operated, in a jurisdiction whose fiscal basis is under constitutional challenge. Every such transition creates a demand that is not for capital: **local knowledge, on a short clock, from someone who was in the room when the decisions were made.**

Sources: EnQuest investor deck, June 2026; Law.asia, 16 June 2026.

4 · The date nobody has priced

The Federal Court has set a **five-day hearing beginning 25 January 2027** on two competing petitions. PETRONAS obtained leave on 16 March 2026 to challenge the competence of the Sarawak State Legislature to enact laws touching Federal List matters. Sarawak filed in February 2026 seeking declarations that the Petroleum Development Act 1974, the Continental Shelf Act 1966 and the Petroleum Mining Act 1966 are — as applied to Sarawak — **unconstitutional and void *ab initio***.

In September 2026 both parties applied for separate hearings, which means the matter may split rather than resolve. Any asset model for Sarawak built after 25 January 2027 that assumes the PDA survives is an assumption, not a base case.

Sources: NST, 1 October 2026; Reuters, 23 February 2026; The Edge, 8 June 2026.

5 · Watchlist

ITEM	STATUS	TRIGGER TO WATCH
PETRONAS v Sarawak (Federal Court)	Hearing from 25 Jan 2027	Whether hearings are split; any interim ruling on state laws
EnQuest / PETRONAS completion	Due 31 Dec 2026	UK shareholder vote; any renegotiation of the USD 554m
Shell MDS Bintulu double-invoicing	Interpleader ordered to early disposal	Appellate ruling 22 Sep 2025 ordered Shell to pay PETRONAS ~RM1bn incl. interest; Petros liable for costs. Aggregator status still contested
Criterium / Bulu PSC	Oldest outstanding deal, since Dec 2023	No completion and no termination — company materials still show 42.5% held
Malaysia Bid Round 2026	Launched 11 Feb 2026	9 exploration blocks (Sandakan frontier, West Sarawak, Malay Basin near-field) plus 6 Discovered Resource Opportunities
Barokah-1, North Ketapang PSC	Discovery 12 Mar 2026	Spudded 30 Nov 2025, TD 3,315.3m TVDSS. Evaluation programme next

6 · What it means

Two clocks are running against each other. Commercial clocks are short — completions in December, bid rounds closing, appraisals underway. The legal clock is long and terminal: a constitutional ruling that could void the statute the entire industry was built on.

Between those two clocks sits a narrow, well-paid service: telling a new operator, in writing, what the geology and the fiscal exposure actually are — before they commit. That work is not consulting in the generic sense. It is a screening memo, a data-room second opinion, a farm-in target list. It is bought by people with a December deadline and no local bench.

The gap between the price of that work and the cost of getting it wrong is the entire market.

> **Method.** Every figure above is traceable to a public filing, court report, company release or published research note, dated. Nothing in this issue comes from a non-public source. Where a number was not disclosed, it is marked n/d rather than estimated.